



Trimester Report

TLD-ACE
04/07/2005



Agenda

- ◆ TLD-ACE YTD financial performance
- ◆ Recent Key Wins
- ◆ Potential Opportunities
- ◆ TLD Group info
- ◆ New Product Development Status
- ◆ TLD-ACE Facility Improvements
- ◆ Conclusion

TLD-ACE

YTD financial performance



- ◆ \$6.2M YTD March sales against a budget of \$4.3M
- ◆ However Cost and Productivity problems resulted in below budget profits in first qtr!
 - Excessive overtime due to late arrival of parts
 - Steel, Copper, Fuel cost increases and Euro/Dollar exchange rate are impacting our margins.

TLD ACE & TLD Profitability



◆ Return on Sales (ROS) indices

- A company doing well is typically at about 5 to 10% ROS
- TLD-ACE was almost 2.8% last year due to strong military content.
- We will probably be below 2% in 2005
 - ◆ Steel, Copper, Fuel cost increases and Euro/Dollar exchange rate are impacting our margins.
- The TLD group achieved its first positive bur marginal Net Income in 2004 since 2001. Official numbers are available online on the TLD Website and are concluded by the following sentence:
 - ◆ “TLD views 2005 with confidence, in spite of the persistent difficulties of the American Market, an the unfavorable level of the Dollar”
- ***We are still in a fragile market that forces us to control and reduce our operating costs in order to survive***



Recent Key Wins

- ◆ Glesco 804s
- ◆ L-3 Communications 804s
- ◆ Kingfisher Airlines
 - 600-150 Jet Starters, 802s and GPUs
- ◆ TNT GPUs
- ◆ Air Rail GPUs
- ◆ Air India 802s
- ◆ MAS 802s
- ◆ ***JSF Chiller Programs***



Potential Opportunities

- ◆ Delta Jet starters
- ◆ Fedex follow up jet start order
- ◆ Air Canada 802s
- ◆ Southwest Airlines
 - 600-150 Jet Starters
- ◆ Boeing GPUs, 302s
- ◆ Continental HGEU90s
- ◆ TMAC Program
 - Similar to 302
 - About to enter proposal stage
- ◆ Bridge mounted Aircon (ACU-900)
 - Trying to enter this market with a partner

TLD Group info



- ◆ Successful 2005 GSE show
- ◆ TLD displayed the new belt loader that will be built in TLD-Canada
- ◆ Customer feedback was very good
- ◆ TLD is clearly providing the best value to the customer!



RANGER

Program status



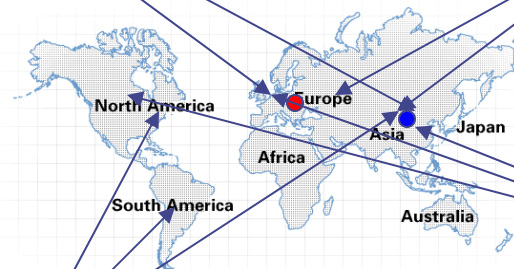
Soon another Ranger Product will be added to the family.....

The NLW

(New Lav and Water)

This Product will be designed with the collaboration taking the best from all three existing products currently being built in Windsor, Shanghai and St Lin.

Manufacturing sites of the NLW will be decided by TLD in 2005

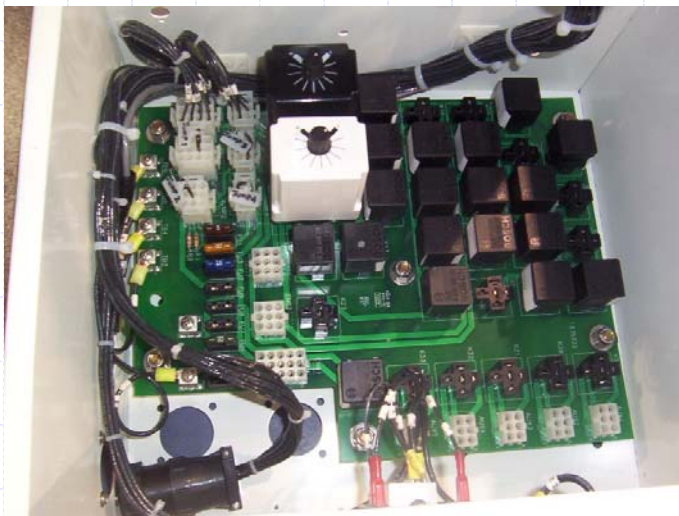
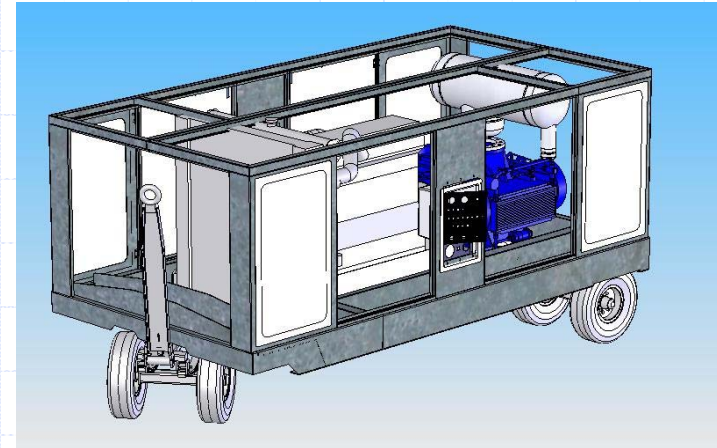


New Product Development Status



ASU 600 Common Chassis
180,270,300 ppm jet starter

- Prototype to be running this Friday!.
- ***This project is key to ACE profitability in 2005***



Facility improvements



◆ Test Facility

- Mechanical work complete
- Electrical Work in progress
- Will provide 2 large cells and 3 small cells
- Test runs will start in the next couple of weeks
- ***This investment will improve our productivity***



Facility improvements

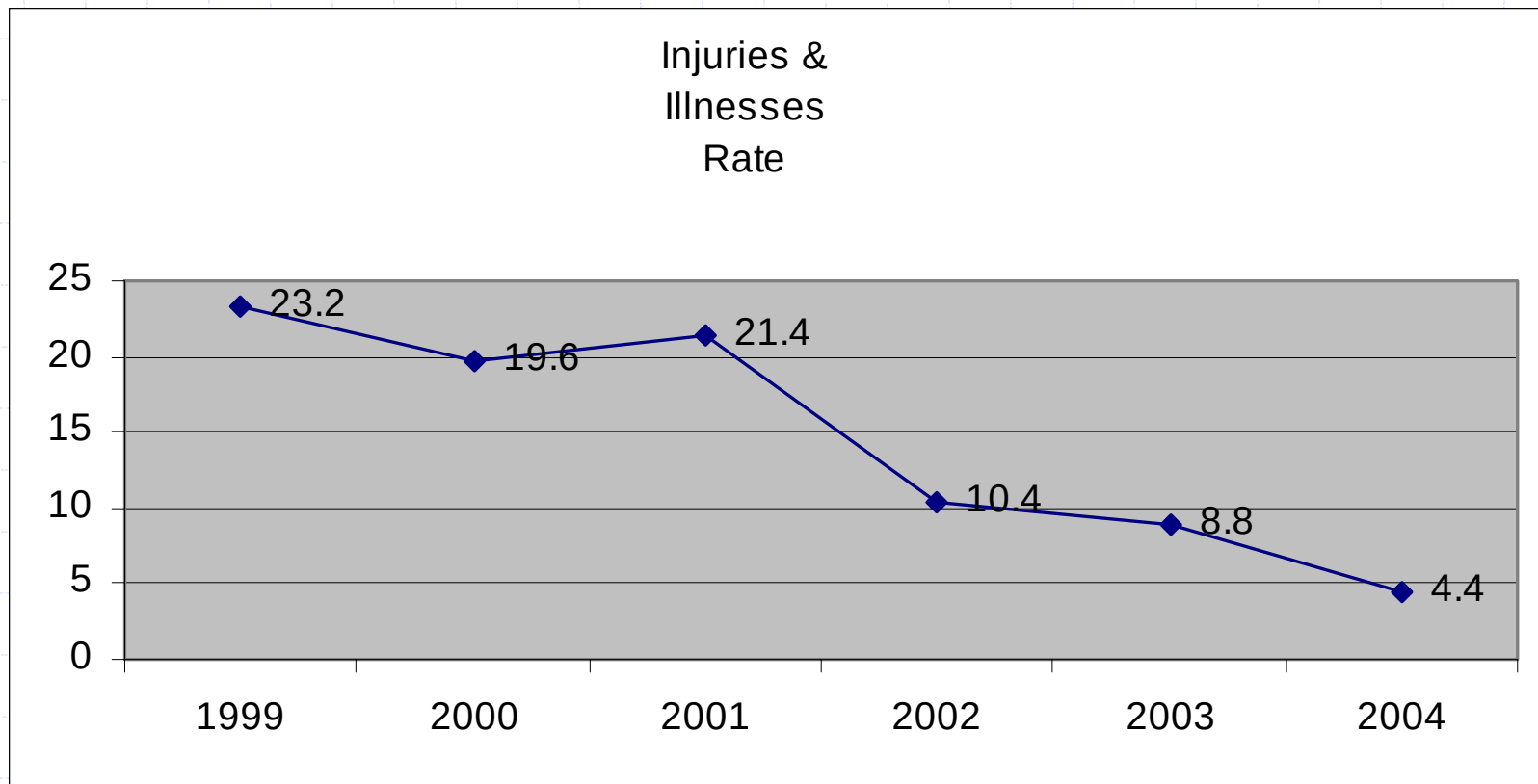


- ◆ Paperless shop progressing
- ◆ All shop areas now have:
 - Direct access to drawings and BOMs
 - Electronic Time keeping
 - E-mail communication
- ◆ We are progressing towards the implementation of the ***ISOSOFT*** system where all data will be able to be recorded on line





OUR Improving Safety Record



Safety must be everyone's concern and responsibility

Conclusion



- ◆ Nothing new here.....
- ◆ Steel, Copper and Fuel cost increases are impacting our margins.
- ◆ The Airline Industry is still in recovery
- ◆ Connecticut is a high cost manufacturing location
- ◆ We need to rely on commercial work and be able to adjust quickly and efficiently to a varying production rate.
- ◆ ***We need to focus on cost control and productivity improvements***